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Humanoid Robot

Re-assessing sector positioning: UBTech downgraded, Leader Drive and Orbbec model upgrades, and our preferred names

The physical AI and humanoid robotics sector remains a multi-year growth story, in our view, but the transition to mainstream deployment is proving more complex and selective than many had anticipated. We remain fundamentally positive on the sector's long-term trajectory, with global shipment for humanoid and legged robots forecast to rise from c.60k units in 2026 to c.1.75M units by 2030, and China's shipments set to expand from c.50k to 900k units. However, recent market pullbacks and a sharper focus on business model defensibility prompt us to update our coverage. We downgrade UBTech to Neutral (Dec-27 PT of HK\$74, 5x FY27E P/S) as expectations reset and major pre-IPO investors such as Tencent reduce shares. We also recently downgraded [Shenzhen Inovance](#) and [Yiheda Automation](#) to Neutral, and [Estun Automation to UW](#), reflecting our more cautious stance on hardware-led OEMs. We initiated on [Unitree at UW](#), citing near-term headwinds from competition and regulatory scrutiny. In contrast, we remain OW on Leader Drive (Dec-27 PT of Rmb358, for 30% potential upside) and Orbbec (Dec-27 PT of Rmb110, for 28% potential upside), where scarcity, moat and ecosystem positioning remain most defensible, in our view. Our updated models for UBTech, Leader Drive and Orbbec reflect these shifts, and we believe the burden of proof now rests squarely on companies to demonstrate scalable, repeatable value as the sector matures. **Our preference order: Leader = Orbbec (both OW) > Inovance (N) > Yiheda (N) > UBTech (N) > Estun & Unitree (both UW).**

- **Is the sector's long-term growth story still intact as the market matures and adoption broadens?** We continue to see humanoid and legged robotics as a transformative force in automation, with the addressable market expanding rapidly as technology matures. Asia-Pacific, especially China, is poised to remain the largest and fastest-growing region, in our view, underpinned by advances in AI, robotics research and manufacturing scale. While global shipment is forecast to rise from c.60k units in 2026 to c.1.75M units by 2030, the path to mass adoption will be non-linear, with volatility driven by technical bottlenecks, regulatory scrutiny and evolving business models. We expect the winners to be those that combine technical excellence with scalable platforms and ecosystem leadership, and we remain confident in the sector's long-term potential.
- **How should investors think about positioning as the sector shifts from hardware scarcity to platform economics?** Recent rating and PT changes reflect our view that the market is rewarding companies with proven moats,

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
UBTECH Robotics - H	9880 HK	4,274	HKD	73.70	N	OW	74.00	Dec-27	118.00	Jun-27
Orbbec - A	688322 CH	5,124	CNY	85.75	OW	n/c	110.00	Dec-27	140.00	n/c
Leader Harmonious Drive System Co.	688017 CH	6,904	CNY	274.62	OW	n/c	358.00	Dec-27	481.00	Jun-27

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 28 Sep 26.

See page 24 for analyst certification and important disclosures, including non-US analyst disclosures.

scalable platforms and the ability to capture value across the physical AI stack. We remain OW on Leader Drive (Dec-27 PT of Rmb358, for 30% potential upside, 39x/28x FY27E/28E P/S) and Orbbec (Dec-27 PT of Rmb110, for 28% potential upside, 18x FY27E P/S), where we believe scarcity and ecosystem integration remain most defensible. In contrast, we downgrade UBTech to Neutral (Dec-27 PT of HK\$74, 5x FY27E P/S) and recently downgraded Shenzhen Inovance and Yiheda Automation to Neutral, and Estun Automation to UW, as hardware-led OEMs face greater near-term headwinds. The burden of proof is now on companies to deliver repeatable enterprise demand, margin resilience and platform value.

- **What are the key risks and opportunities as the sector enters a new phase of selectivity and proof?** Intensifying competition, regulatory headwinds and a shift in value from hardware to platform economics are reshaping the landscape. We believe companies like Unitree (initiated at UW) and Estun Automation (recently downgraded to UW) face the greatest near-term challenges as the market moves beyond scarcity and headline shipments. Meanwhile, upstream component leaders such as Leader Drive and Orbbec are better positioned to benefit from supply-side expansion, rising per-unit content value and the ability to sell to multiple OEMs. As the sector matures, we expect the market to reward those with proven moats, platform value and the ability to scale across multiple OEMs and applications, while remaining selective and cautious on hardware-led OEMs until the outlook stabilizes.

The sector's multi-year opportunity is significant, but the transition to mainstream deployment is not linear; downgrade UBTech to N and reduce PTs for Leader and Orbbec, but stay OW

The physical AI and humanoid robotics sector is entering a new era, with the long-term opportunity for value creation as compelling as ever, in our view, even as the near-term landscape becomes more complex. We remain fundamentally optimistic about the sector's multi-year trajectory: Humanoid and legged robots are poised to transform automation, address labor shortages and unlock new productivity in both industrial and consumer settings. The convergence of mechatronics, embodied AI and advanced manufacturing is fueling rapid progress, and the addressable market is expanding as technology matures and adoption broadens. Global shipment for humanoid and legged robots is forecast to rise from c.60k units in 2026 to c.1.75M units by 2030, with China's shipment increasing from c.50k units to 900k over the same period. Asia-Pacific, especially China, is set to remain the largest and fastest-growing region, in our view, underpinned by rapid advances in AI, robotics research and manufacturing scale. However, the journey from technical feasibility to commercial inevitability is proving more nuanced than many had anticipated. The sector is moving beyond technical demonstrations to focus on scalable deployment, commercial viability and platform value. At the same time, intensifying competition, regulatory scrutiny and a shift in value from hardware to platform economics are reshaping the landscape.

Recent pullbacks in Chinese supply chain names highlight how the sector's evolving risk/reward and the market's increasing focus on business model defensibility are reshaping investor expectations. In response to these shifts, we make targeted adjustments to our coverage to reflect both the changing competitive landscape and the need for greater selectivity. We downgrade UBTech to Neutral (Dec-27 PT of HK\$74, 5x FY27E P/S), reflecting reduced expectations, the shareholding cut of major pre-IPO investors such as Tencent, and a lack of near-term catalysts as the sector undergoes a period of adjustment and consolidation. UBTech's valuation now stands above that of Estun Automation (recently downgraded to UW, 3x P/S), but we do not see a compelling reason for a re-rating in the near term. Consistent with our more cautious stance on hardware-led OEMs, we initiated on Unitree at UW, as we see the greatest near-term headwinds for companies exposed to intensifying competition, regulatory scrutiny and a shift in value from hardware to platform economics. In contrast, we maintain our preference for upstream component leaders—Leader Drive (Dec-27 PT of Rmb358, for 30% potential upside, 39x/28x FY27E/28E P/S) and Orbbec (Dec-27 PT of Rmb110, for 28% potential upside, 18x FY27E P/S)—where we believe scarcity, moat and ecosystem positioning remain most defensible. Our earnings estimates for Orbbec remain c.20%/c.40% above Bloomberg consensus for FY27/28, and we raise our FY27/28 revenue/earnings for Leader Drive by c.20%/c.15%, bringing us c.25%/c.35% above consensus.

Table 1: China robotics in comparison: Risk profile, overseas exposure and policy sensitivity

Company	Regulatory / Business Risk Level	Overseas Exposure / Market Focus	Revenue Geography / Export Exposure	Policy Risk / Strategic Resilience
UBTech	High, revenue scrutiny	Moderate, China focus	Mostly domestic	Moderate, but compliance burden rising
Unitree	High, US FCC/DoD risk (Department of Defense)	High, US/overseas sales	45% overseas, within which 1/3 US	Moderate, but export risk rising
Estun	Low, diversified	Low, industrial focus	Mostly domestic; Overseas sales mainly attributed to overseas subsidiaries	High, less export risk
Leader Drive	Moderate, new listings	Low, component focus	Mostly domestic	High, supply chain resilience
Orbbec	Moderate, RealSense comp	Moderate, global vision market	Growing export, China strong	High, domestic ecosystem strength

Source: J.P. Morgan.

Table 2: Our preference order for China robotics coverage

Pecking order	Leader Drive	Orbbec	Inovance	Yiheda	UBTech	Estun	Unitree
Rating	OW	OW	Neutral	Neutral	Neutral	UW	UW
PT	Rmb358	Rmb110	Rmb55	Rmb24	HK\$74	Rmb21	Rmb300
Upside (%)	30	28	5	-2	0	-26	-35
FY27E P/S	39x	18x	2x	4x	5x	3x	30x
Key rationale	Upstream moat, humanoid domestic core value chain position, earnings raised c.20%/c.15% for FY27/28E, scarcity	3D vision leader, scale, c.20%/c.40% above consensus, platform potential	Diversified automation, less direct physical AI leverage	Similar to Inovance, less direct AI exposure	Downgraded, major investor exit, less scarcity, compliance risk, trades at c.90% discount to Unitree	Recently downgraded, hardware OEM headwinds, lack of platform value	Initiated at UW, competition, regulatory risk, hardware-to-platform transition

Source: J.P. Morgan estimates.

Should investors be positive or cautious on humanoid robot development as the sector enters a new phase of growth?

The sector's long-term growth drivers remain robust, with global demand for humanoid and legged robots set to accelerate as technology matures and adoption broadens. We see humanoid and legged robotics as a transformative force in automation, fundamentally distinct from fixed industrial robots. These platforms are engineered to operate in human environments, leveraging advanced mobility, manipulation, perception and AI-driven control to perform complex tasks. The sector sits at the intersection of mechatronics, embodied AI and advanced manufacturing, making it a magnet for innovation and capital. Global shipment is forecast to rise from c.60k units in 2026 to c.1.75M units by 2030, with China's shipment increasing from c.50k units to 900k over the same period. Asia-Pacific, especially China, is set to remain the largest and fastest-growing region, in our view, underpinned by rapid advances in AI, robotics research and manufacturing scale. The sector's addressable market is expanding, and we expect new use cases in logistics, manufacturing, healthcare and consumer applications to drive further upside.

The industry is moving beyond technical demonstrations, with the focus now on real-world deployment, reliability and economic value creation. The narrative

around humanoid and legged robotics is evolving quickly. The key question is no longer whether robots can walk, balance or perform staged tasks, but whether they can deliver useful work safely, reliably and economically in real-world settings. As the sector matures, the focus is shifting from technical milestones to scalable deployment, with commercial viability, repeatability and cost-effectiveness becoming the new benchmarks for success. While the long-term opportunity is significant, the path to mass adoption will be non-linear and marked by volatility as the market navigates technical bottlenecks, regulatory scrutiny and evolving business models. We expect the winners to be those that combine technical excellence with scalable business models and ecosystem leadership, and we remain confident that the sector's long-term potential is intact.

Near-term caution is warranted as the sector faces intensifying competition, regulatory headwinds and a shift in value from hardware to platform economics.

Despite the sector's long-term promise, the next 6-12 months are likely to be challenging. The market is now characterized by fast product cycles, frequent new launches and aggressive pricing, which could support strong volume growth, but limit profitability. Regulatory scrutiny is increasing, especially around revenue quality and progress, and the industry's value chain is shifting from hardware scarcity to platform economics. We expect the winners to be those that combine technical excellence with scalable business models and ecosystem leadership, but the near-term setup is less favorable than headline growth rates suggest. We believe investors should focus on companies with proven moats, scalable platforms and the ability to capture value as the sector transitions from demonstrations to early deployables.

What is the right valuation framework for physical AI and humanoid robotics as the market matures?

Valuation multiples in the sector are highly dispersed, reflecting differences in revenue purity, optionality and business model scalability. The valuation comp for physical AI and humanoid robotics names now spans a wide range, with FY27E P/S multiples from below 1x to above 45x. We divide the universe into three categories: auto-nature companies (with large legacy businesses and low P/S), Tesla supply chain names (where content value and direct robot contribution are hard to isolate) and robotics startups (with more direct exposure to physical AI, robot OEMs or key components). The large dispersion is explained mainly by revenue purity—auto parts companies have large legacy businesses that dilute incremental growth—and by optionality, as the market is willing to pay for the probability that select companies will benefit from scalable robot deployment over the long term.

Scarcity, optionality and ecosystem positioning matter more than near-term sales, with upstream component leaders commanding the highest premiums. Within our coverage, Leader Drive and Orbbecc have sustained substantial valuation premiums together with Unitree, which has a shorter trading history, reflecting their positioning in niche but critical parts of the humanoid value chain and the scarcity of listed alternatives. These companies are effectively “the one and only” to enjoy sector beta, supporting the market's “winner-takes-most” expectation and underpinning assumptions around margin resilience, pricing power and long-term strategic relevance. Their valuations are anchored even higher than that for humanoid robot OEMs like UBTECH, whose scarcity is more easily diluted by new IPOs. We believe scarcity remains the most important driver and that certain names can trade meaningfully above the robotics industry average because investors are underwriting long-term optimism around

physical AI.

The market is rewarding companies with scalable platforms and proven moats, while hardware-led OEMs face greater near-term headwinds. The shift from hardware scarcity to platform economics is creating new opportunities for value creation, but also raising the bar for what constitutes a defensible business model. Companies that combine manufacturing scale with advances in software, AI and ecosystem integration are best positioned to capture long-term value, in our view. In contrast, hardware-led OEMs are facing intensifying competition, margin pressure and a more crowded IPO pipeline, making it harder to sustain premium valuations without clear evidence of platform value and repeatable enterprise demand.

Valuation frameworks must adapt as the sector matures, with investors increasingly focused on platform value, recurring revenue and ecosystem integration. As the sector evolves, we expect valuation frameworks to shift away from simple revenue multiples toward more nuanced assessments of platform value, recurring revenue streams and ecosystem integration. Companies that can demonstrate defensible moats, scalable business models and the ability to capture value across the physical AI stack will be best positioned to command premium valuations as the market matures.

How should investors position in UBTech, Unitree and Estun as the sector evolves?

We downgrade UBTech to Neutral with a Dec-27 PT of HK\$74 (5x FY27E P/S), reflecting reduced expectations, a lack of near-term catalysts and a more cautious sector stance. UBTech's valuation is now above that of Estun Automation (recently downgraded to UW, 3x P/S), but we do not see a near-term catalyst for a re-rating as the sector undergoes a period of adjustment and consolidation. The shareholding reduction of major pre-IPO investors such as Tencent has further reduced expectations and valuation support. While UBTech remains one of the most visible listed humanoid robot OEMs in China, its scarcity value is less defensible than upstream component leaders', and the tightening regulatory environment may further complicate its revenue growth trajectory. The stock already trades at a c.90% discount to Unitree on P/E, suggesting that most skepticism is reflected in the price, but we do not see a compelling reason to upgrade until the sector outlook stabilizes. We believe UBTech's current valuation already prices in much of the sector's skepticism, but with the industry in transition, we prefer to stay selective and focus on names with more robust moats and platform value.

Our initiation of Unitree at UW and recent downgrade of Estun Automation to UW reflect our view that hardware-led OEMs face the greatest near-term headwinds. Unitree's IPO and early leadership have given way to a more competitive landscape, with a wave of new robotics IPOs, intensifying China-US tech tensions and the industry's value chain shifting from hardware to intelligence, data and software. The next phase for Unitree and Estun is likely to be defined less by volume growth and more by the quality and sustainability of earnings and platform positioning. We see the risk/reward skewed to the downside for hardware-led OEMs as the market moves beyond scarcity and headline shipments to focus on repeat enterprise demand, margin resilience and the ability to capture value in the evolving physical AI ecosystem. Our stance reflects a preference for companies with proven moats, scalable platforms and the ability to adapt as the sector matures.

What does the Cognex-RealSense deal mean for Orbbec and the 3D vision space?

Orbbec's strategic positioning as a 3D vision leader is reinforced by Cognex's RealSense acquisition, but valuation convergence risk is rising. [Cognex's announced acquisition of RealSense on 22 September](#) at c.US\$500M (c.6x FY26E P/S) signals that robotic perception is becoming a core layer in the physical AI stack. While Orbbec currently enjoys a wide valuation premium (FY26E P/S of 26x, per JPM) and holds more than a 70% share in China's service and humanoid robot market, the deal provides a clean public valuation reference and raises the burden of proof for Orbbec to deliver strong growth, better gross margin and more defensible software value. We trim our Orbbec PT to Rmb110 (for c.28% potential upside), remain OW and move to a FY27E P/S of 18x to reflect the risk of valuation convergence and a higher burden of growth proof. Our earnings estimates remain c.20%/c.40% above consensus for FY27/28, and we do not view RealSense as a true comp at this stage, but acknowledge the impact on sentiment. Orbbec's early-mover advantage, scale and potential to evolve from a component supplier into a vision perception platform provider remain key differentiators.

The 3D vision market is evolving rapidly, and Orbbec's scale and ecosystem integration provide a strong foundation for long-term value creation. Orbbec's sales size is around 2.4x that of RealSense, and we believe its scale advantage is

. In an emerging technology market, scale means more customer touchpoints, more deployment scenarios, more accumulated data and stronger ecosystem relevance, which create a closed loop: A higher installed base translates into more data and use cases, improving robot performance and potentially setting industry standards. We believe Orbbec's positioning as a domestic China 3D vision leader, with strong supply chain control and customer customization, should command a strategic premium as the market matures. As the sector evolves, Orbbec's ability to influence data standards, sensing architecture and integration with downstream software stacks will be increasingly important for sustaining its premium

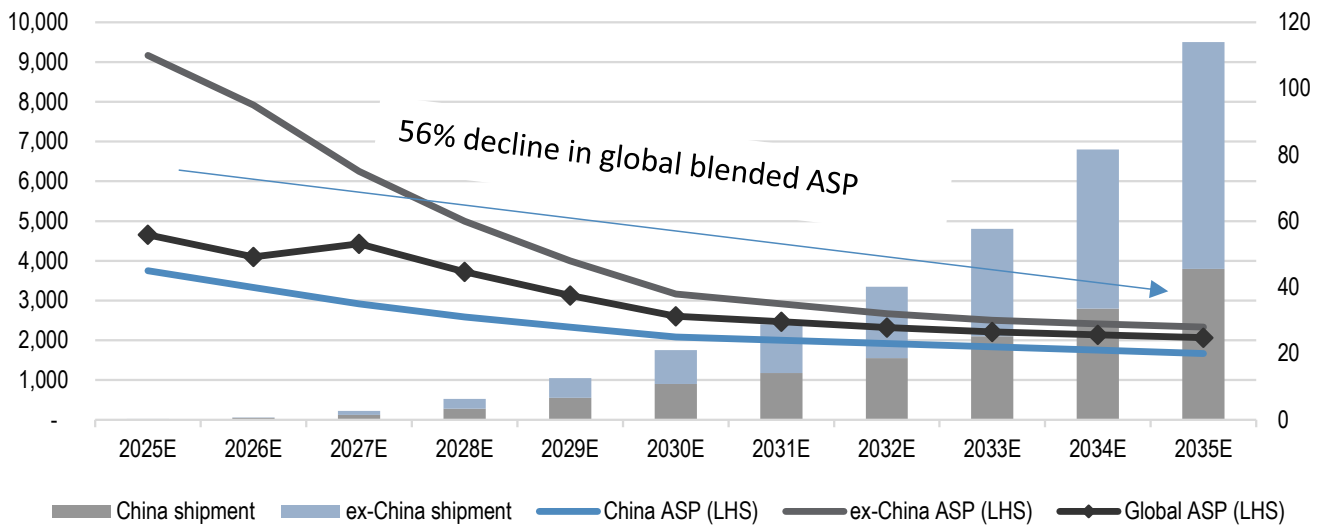
Why do we prefer Leader Drive and Orbbec over downstream OEMs?

Leader Drive's and Orbbec's upstream positioning and product scarcity support higher, more resilient valuation multiples. We raise our FY27/28 revenue/earnings forecasts for Leader Drive by c.20%/c.15%, bringing our numbers c.25%/c.35% above consensus. We cut our DCF-based PT for Leader Drive to Rmb358 (for c.30% potential upside), but remain OW, with our PT implying a 39x/28x P/S on FY27E/28E. For Orbbec, we cut our Dec-27 PT to Rmb110 (for 28% potential upside) and remain OW, with our PT implying a 18x/10x P/S on FY27E/28E. These higher multiples reflect our view that upstream component plays have stronger moats, better positioning and greater scalability, as they can sell to multiple OEMs and their per-unit content value should rise, partially offsetting the easing pricing trend. Both companies are in "shovel seller" positions, with sales driven by supply-side expansion, rather than real demand generation at this phase, and their key products (harmonic reducers and 3D vision modules) are likely to see more unit installations as the ecosystem grows.

The competitive landscape is evolving, but scarcity and platform value remain the key differentiators for long-term winners. Leader Drive's scarcity is being challenged by the listing of Laifual Drive, a domestic market disruptor with harmonic reducer

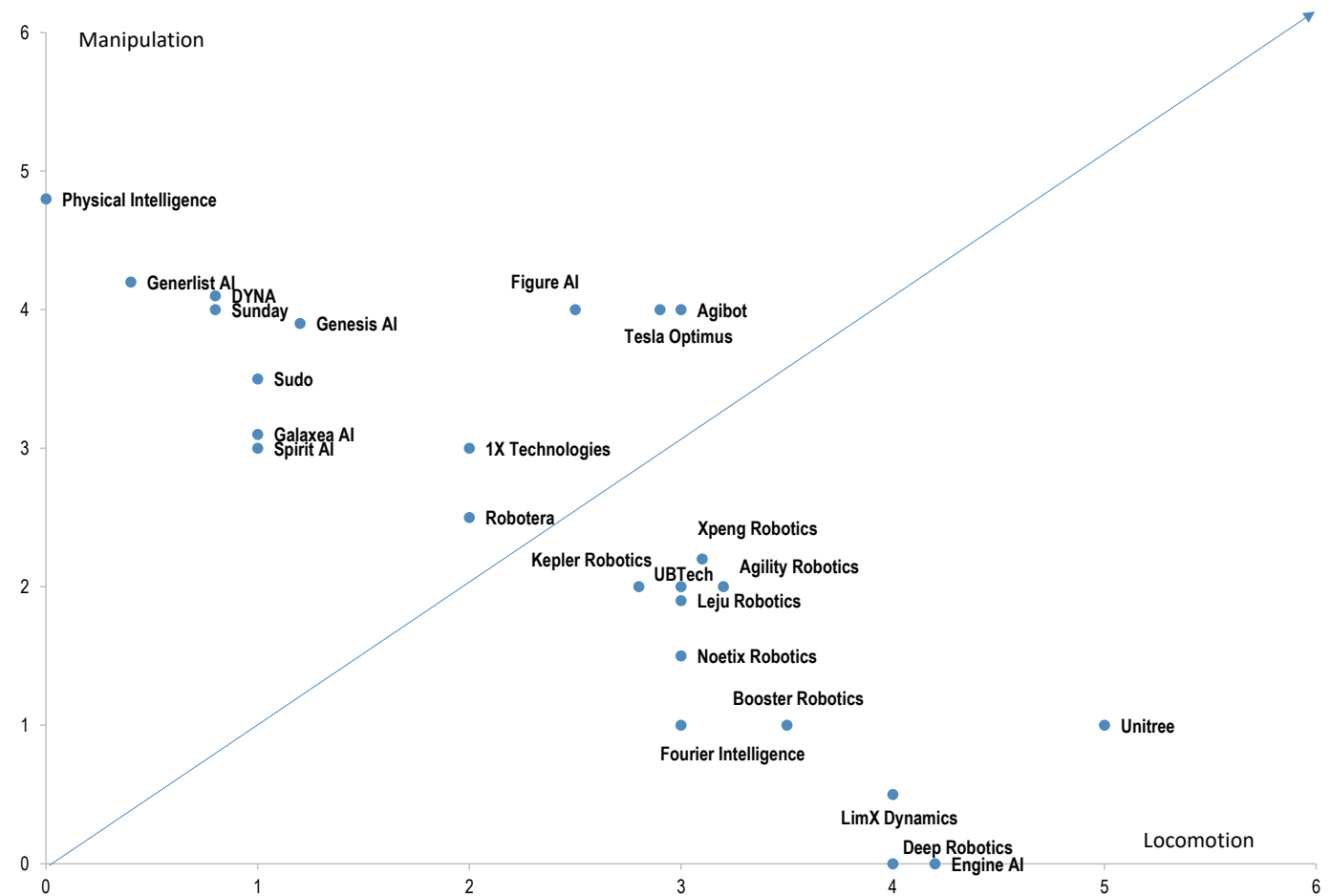
pricing c.40% below that of Leader Drive. Orbbec faces new competition from Cognex's RealSense, but its early-mover advantage, scale and integration with China's physical AI ecosystem remain strong. We believe both companies are well positioned to sustain above-industry-average valuation multiples as the sector matures and the market shifts from hardware scarcity to platform economics. As the industry continues to evolve, we expect the market to reward those with proven moats, platform value and the ability to scale across multiple OEMs and applications.

Figure 1: Humanoid robot pricing trend: We expect ASPs to decline 56% by 2035 to facilitate an 87% shipment CAGR



Source: J.P. Morgan estimates.

Figure 2: Physical AI robot OEM positioning: Locomotion vs. manipulation



Source: J.P. Morgan. Note: Scoring from 1 to 5 is qualitative and indicative only.

Table 3: Humanoid robot supply chain: Valuation comp table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US\$Mn	Daily turnover US\$Mn	YTD stock perf.	P/E (x)	EPS Growth	ROE (%)	P/S (x)	Revenue growth Y/Y					
									FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
China																		
Robot OEM																		
Unitree	688836 CH	UW	460	300	-35%	27,696	485.6	NA	301.8	206.9	99%	46%	8.4	8.8	65.9	46.0	66%	43%
UBTech Robotics	9880 HK	N	74	74	0%	4,781	79.6	-42%	NM	155.7	62%	151%	-5.7	2.9	8.0	5.0	99%	59%
Estun	002747 CH	UW	28	21	-26%	3,869	369.9	2%	101.3	74.4	462%	36%	9.7	9.4	5.1	4.5	8%	7%
Geekplus	2590 HK	NC	7	NA	NA	1,210	13.7	-6%	NM	30.7	-103%	NM	0.4	9.1	2.0	1.5	30%	31%
Dobot	2432 HK	NC	20	NA	NA	997	9.1	-48%	NM	NM	84%	56%	-4.0	-1.6	8.6	6.1	54%	41%
Xpeng	9868 HK	OW	39	94	140%	9,563	80.2	-5%	NM	NM	-28%	74%	-15.8	-4.5	0.8	0.5	11%	54%
Xpeng	XPEV US	OW	10	24	137%	9,709	85.1	-5%	NM	NM	-28%	74%	-15.8	-4.5	0.8	0.5	11%	54%
Average									201.6	116.9	78%	73%	-3.3	2.8	13.0	9.2	40%	41%
Components																		
Leader Drive	688017 CH	OW	275	358	30%	7,500	537.6	43%	271.7	138.9	46%	96%	5.1	9.6	56	30	58%	87%
Sanhua Intelligent-A	002050 CH	OW	35	51	44%	21,156	422.4	53%	31.4	26.8	17%	17%	12.8	14.6	4.2	3.7	9%	13%
Sanhua Intelligent-H	2050 HK	OW	24	38	59%	21,156	28.7	43%	18.1	15.5	17%	17%	12.8	14.6	2.9	2.5	9%	13%
Ningbo Tuopu	601689 CH	UW	47	48	3%	12,038	228.9	2%	29.1	25.4	-1%	14%	11.1	11.7	2.4	2.1	16%	13%
Minth	425 HK	OW	24	54	130%	3,509	15.2	2%	7.8	6.6	7%	18%	12.3	13.2	0.8	0.7	9%	14%
Zhongda Leader	002896 CH	NC	63	NA	NA	1,853	112.6	2%	111.1	93.1	23%	19%	8.7	9.7	9.6	7.7	25%	25%
Shuanghuan	002472 CH	NC	39	NA	NA	4,912	182.6	1%	23.3	19.9	13%	18%	13.1	13.7	3.2	2.8	8%	14%
Ningbo Joyson	600699 CH	N	24	20	-17%	5,233	103.7	5%	21.3	17.5	16%	21%	8.8	9.9	0.5	0.5	2%	4%
Hengli Hydraulic	601100 CH	OW	90	126	40%	17,977	119.9	5%	38.1	28.8	8%	32%	17.3	20.2	8.8	7.2	26%	22%
Robosense	2498 HK	OW	17	45	169%	1,002	12.0	54%	NM	27.5	26%	360%	-2.5	6.5	2.3	1.5	45%	57%
Johnson Electric	179 HK	N	17	21	20%	2,082	14.5	4%	10.1	8.6	NA	18%	7.4	8.2	0.6	0.5	NA	4%
Wolong Electric	600580 CH	N	26	31	18%	6,111	220.1	4%	50.5	32.0	-37%	58%	7.3	10.7	2.7	2.4	-4%	12%
Orbtec	688322 CH	OW	86	110	28%	5,274	199.9	4%	131.5	59.7	104%	120%	7.5	13.1	26	14	43%	86%
Horizon Robotics	9660 HK	OW	4	9	119%	8,327	98.5	52%	NM	NM	156%	44%	-38.9	-23.4	10.6	6.9	61%	55%
Zhaowei Machinery	003021 CH	NC	69	NA	NA	2,592	46.2	25%	75.1	55.4	-16%	35%	4.9	5.8	9.4	8.2	-1%	14%
Laifual Drive	3952 HK	NC	47	NA	NA	618	6.4	NA	NA	NA	NA	NA	4.2	10.4	5.7	NA	82%	NA
Mech Mind	9615 HK	NC	80	NA	NA	1,267	7.1	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Average									63.0	39.7	27%	11%	3.8	8.9	9.4	6.0	22%	32%
Asia (ex-China)																		
Components																		
Hiwin	2049 TT	UW	325.50	160	-51%	3,624	49.1	64%	59.6	50.7	37%	18%	5.2	6.0	4.3	4.0	9%	8%
Bizlink	3665 TT	OW	2340.00	3,100	32%	14,695	214.0	54%	34.5	19.5	46%	77%	25.4	33.8	4.4	2.9	48%	50%
Sinbon	3023 TT	N	311.00	235	-24%	2,349	14.5	64%	23.5	19.8	5%	19%	19.3	21.6	2.3	2.1	6%	9%
HDS	6324 JP	NC	6400.00	NA	NA	3,925	62.2	69%	92.8	62.2	NM	49%	7.9	10.5	8.1	7.0	30%	16%
Nidec	6594 JP	UW	2340.00	1,800	-23%	17,769	81.4	10%	13.4	11.7	61%	14%	10.3	10.6	1.0	0.9	7%	6%
Minebea Mitsumi	6479 JP	OW	3567.00	5,500	54%	9,700	71.5	14%	15.7	13.3	33%	17%	9.9	10.5	0.9	0.9	5%	5%
Robotis	108490 KS	NC	281500.00	NA	NA	3,034	119.1	8%	170.5	95.1	1263%	79%	6.7	11.1	32.4	18.0	88%	80%
Hyundai Mobis	012330 KS	OW	373000.00	710,000	90%	24,623	158.8	0%	6.8	6.1	20%	11%	9.1	9.3	0.5	0.5	3%	3%
HL Mando	204320 KS	N	46450.00	50,000	8%	1,603	18.4	2%	11.5	10.3	13%	12%	6.5	6.9	0.2	0.2	5%	4%
Average									47.6	32.1	185%	33%	11.1	13.4	6.0	4.1	22%	20%
Robot OEM																		
Yaskawa	6506 JP	NC	4453.00	NA	NA	7,562	183.4	4%	25.2	20.1	25%	26%	9.2	10.9	2.0	1.9	12%	7%
Fanuc	6954 JP	NC	5943.00	NA	NA	37,171	233.7	4%	26.8	25.1	28%	7%	10.8	11.4	6.0	5.6	15%	7%
TM Robot	4585 TT	NC	293.00	NA	NA	964	3.0	1%	64.3	38.9	NA	65%	NA	NA	14.2	10.7	NA	32%
Hyundai motor	005380 KS	OW	354500.00	540,000	52%	53,010	349.1	19%	9.8	8.6	-9%	14%	7.9	8.5	0.4	0.3	5%	6%
Average									31.5	23.2	15%	28%	9.3	10.3	5.6	4.6	10%	13%
Ex-Asia																		
Components																		
NVIDIA	NVDA US	OW	225.07	320	42%	5,424,187	26,041.8	21%	48.1	24.4	60%	97%	104.2	99.8	25.4	13.3	66%	91%
Siemens	SIE GR	OW	276.65	345	25%	246,022	302.5	16%	22.5	19.4	7%	16%	14.0	15.1	2.6	2.4	5%	8%
Schaeffler	SHA0 GR	N	6.52	9	30%	7,006	7.4	22%	12.1	10.5	2%	15%	17.1	18.1	0.3	0.3	-2%	0%
Average									27.6	18.1	23%	43%	45.1	44.3	9.4	5.3	23%	33%
Robot OEM																		
Tesla	TSLA US	N	372.11	415	12%	1,469,666	13,825.8	17%	260.2	256.6	11%	1%	5.9	5.7	13.6	11.8	14%	15%

Source: Bloomberg Finance. L.P., priced as of 28 September 2026, J.P. Morgan estimates. Note: JPM for covered names, BBG for Not Covered (NC) companies. Past performance is not an indicator of future results.

Table 4: Industrial automation: Valuation comp table

	BBG	JPM rating	Last Price	JPM PT	Upside/ Downside	Mkt Cap	Daily turnover	YTD	P/E (x)		EPS growth Y/Y		PEG(x)	ROE (%)		P/S (x)		Revenue growth Y/Y	
	Ticker		LC	LC		US\$Mn	US\$Mn	Stock perf.	FY26E	FY27E	FY26E	FY27E	FY26E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
China/HK automation																			
Inovance	300124 CH	N	52	55	5%	21,105	279.1	31%	26	20	10%	25%	2.6	14.8	16.5	3	2	18%	12%
Estun	002747 CH	UW	28	21	25%	3,869	369.9	20%	105	81	440%	30%	0.2	9.7	9.4	5	5	13%	7%
OPT	688686 CH	NC	130	NA	NA	2,367	41.3	5%	64	45	32%	43%	2.0	7.9	10.1	10	8	33%	29%
Yiheda	301029 CH	N	24	24	0%	2,308	46.1	8%	25	21	19%	21%	1.4	13.6	15.5	4	4	25%	17%
Hongfa	600885 CH	OW	34	46	35%	7,750	89.2	11%	23	19	19%	10%	1.2	16.1	17.8	2	2	32%	18%
Leader Drive	688017 CH	OW	275	358	30%	7,500	537.6	43%	272	139	46%	96%	5.9	9.6	12.9	56	30	58%	87%
Sanhua-A	002050 CH	OW	35	51	45%	21,156	422.4	36%	35	28	-1%	25%	-35.8	12.8	14.6	4	4	5%	13%
Sanhua-H	2050 HK	OW	24	38	58%	21,156	28.7	37%	20	16	-1%	25%	-20.7	12.8	14.6	NA	NA	5%	13%
Jiangsu Hengli	601100 CH	OW	90	126	40%	17,977	119.9	18%	38	29	16%	32%	2.4	17.3	20.2	9	7	25%	22%
HCFA	688320 CH	NC	35	NA	NA	793	24.4	6%	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
SUPCON	688777 CH	NC	77	NA	NA	9,087	233.3	56%	94	65	46%	46%	2.0	6.4	8.6	7	6	6%	16%
Shuanghuan Driveline	002472 CH	NC	39	NA	NA	4,912	182.6	18%	23	20	11%	18%	2.2	13.1	13.7	3	3	8%	14%
Zhongda Leader	002896 CH	NC	63	NA	NA	1,853	112.6	29%	111	93	78%	19%	1.4	8.7	9.7	10	8	25%	25%
Guomao Reducer	603915 CH	NC	13	NA	NA	1,286	13.2	30%	26	23	40%	12%	0.6	8.2	8.8	3	3	10%	11%
Average									66	46	58%	31%	-2.6	11.6	13.3	9.6	6.7	20%	22%
Asia (ex-China) automation																			
Delta	2308 TT	OW	1910	2500	31%	156,114	682.1	98%	44	29	86%	53%	0.5	37.4	44.6	6.2	4.4	44%	40%
Hiwin	2049 TT	UW	326	160	51%	3,624	49.1	68%	60	51	27%	18%	2.2	5.2	6.0	4.3	4.0	9%	8%
Airtac	1590 TT	OW	1210	1350	12%	7,615	36.9	30%	25	22	17%	10%	1.4	18.1	18.4	6.2	5.7	16%	9%
Keyence	6861 JP	NC	78500	NA	NA	121,272	312.5	38%	34	30	27%	12%	1.3	15.5	15.7	16.7	13.2	8%	27%
FANUC	6954 JP	NC	5943	NA	NA	37,171	233.7	2%	27	25	24%	7%	1.1	10.8	11.4	6.9	6.0	7%	15%
NSK	6471 JP	NC	1100	NA	NA	3,494	17.1	13%	16	13	44%	27%	0.4	4.9	6.0	0.6	0.5	14%	14%
SMC	6273 JP	NC	69870	NA	NA	28,346	130.1	28%	20	19	30%	6%	0.7	10.1	10.1	5.3	4.2	6%	27%
Harmonic Drive System	6324 JP	NC	6400	NA	NA	3,925	62.2	69%	93	62	306%	49%	0.3	7.9	10.5	10.6	8.1	6%	30%
Yaskawa	6506 JP	NC	4453	NA	NA	7,562	183.4	6%	25	20	30%	26%	0.8	9.2	10.9	2.2	2.0	-1%	12%
THK	6481 JP	NC	6431	NA	NA	4,865	49.5	60%	16	15	NA	6%	NA	15.6	16.6	2.4	2.2	-11%	9%
MISUMI	9962 JP	NC	3856	NA	NA	6,988	34.4	58%	21	19	22%	13%	1.0	12.4	13.7	2.5	2.1	10%	19%
Nabtesco	6268 JP	NC	4782	NA	NA	3,586	32.3	28%	20	19	79%	7%	0.3	9.0	9.1	1.6	1.5	14%	7%
Sumitomo	8316 JP	OW	6990	8220	18%	168,762	518.8	30%	14	12	17%	17%	0.9	11.2	12.4	5.8	4.9	8%	17%
Average									32	26	59%	19%	0.9	12.9	14.3	5.5	4.5	11%	18%

Source: Bloomberg Finance. L.P., priced as of 28 September 2026, J.P. Morgan estimates. Note: JPM for covered names, BBG for Not Covered (NC) companies. Past performance is not an indicator of future results.

▼ Neutral

Previous: Overweight

9880.HK, 9880 HK

Price (28 Sep 26): HK\$73.70

▼ Price Target (Dec-27): HK\$74.00

Prior (Jun-27): HK\$118.00

Infrastructure, Industrials & Transport

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	98	99	100	78	89
Growth	9	16	23	41	
Momentum	6	9	93		
Quality	97	98	98	100	
Low Vol	89	97	100		

UBTECH Robotics - H

Navigating a transition as sector expectations rise; downgrade to Neutral

UBTech remains one of the most visible names in China's humanoid robotics landscape, but the company is navigating a period of transition as sector expectations reset and the market becomes more selective. We downgrade UBTech to Neutral with a Dec-27 PT of HK\$74 (rolled forward from Jun-27 previously), based on a 5x FY27E P/S (vs. 8x previously), as the company faces a lack of near-term catalysts and reduced support from major pre-IPO investors such as Tencent. While UBTech's technology stack and brand visibility are strengths, the company's scarcity value is less defensible than upstream component leaders', and the tightening regulatory environment may further complicate its revenue growth trajectory. The stock already trades at a c.90% discount to Unitree on P/E, suggesting that most skepticism is reflected in the price, but we do not see a compelling reason to upgrade until the sector outlook stabilizes and UBTech can demonstrate more consistent commercial traction.

How does UBTech's positioning compare to peers' as the sector shifts from scarcity to platform value? UBTech's valuation now stands above that of Estun Automation (recently downgraded to UW, 3x P/S), but the company's scarcity premium is increasingly challenged by a crowded IPO pipeline and the emergence of new head-on-head competitors. While UBTech offers direct exposure to the humanoid robot theme and benefits from a full-stack technology platform, its business model is less differentiated than those of upstream component leaders like Leader Drive and Orbbec, which enjoy stronger moats and more defensible ecosystem positions. The tightening regulatory environment, especially around revenue quality and government-led projects, adds further uncertainty to UBTech's growth outlook. As the sector matures, we believe investors will reward companies with proven platform value, recurring revenue and the ability to scale across multiple OEMs and applications.

What are the key risks and opportunities for UBTech as the sector undergoes adjustment and consolidation? The shareholding reduction of major pre-IPO investors such as Tencent has reduced expectations and valuation support for UBTech, and the company faces a higher compliance burden as regulatory scrutiny increases. While UBTech's current valuation already prices in much of the sector's skepticism, the lack of near-term catalysts and the risk of further dilution from new listings make it difficult for us to justify a more constructive stance. However, UBTech's long-term optionality remains meaningful if the company can prove repeatable use cases, establish itself as a leading China humanoid OEM, and leverage its full-stack technology to capture higher-value opportunities in system integration, software and services. Until there is clearer evidence of commercial traction and margin resilience, we prefer to stay selective and focus on names with more robust moats and platform value.

Price Performance



	YTD	1m	3m	12m
Abs	-41.6%	-11.7%	-18.2%	-44.9%
Rel	-33.8%	-8.5%	-28.3%	-31.8%

Company Data

Shares O/S (mn)	455
52-week range (HK\$)	161.00-73.30
Market cap (\$ mn)	4,274
Exchange rate	7.84
Free float (%)	66.5%
3M ADV (mn)	7.12
3M ADV (\$ mn)	80.2
Volatility (90 Day)	71
Index	HSCEI
BBG ANR (Buy Hold Sell)	17 0 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	2,001	4,004	6,369	10,752
Adj. EBITDA	(667)	(302)	359	1,335
Adj. EBIT	(718)	(404)	251	1,216
Adj. net income	(703)	(402)	204	1,057
Adj. EPS	(1.55)	(0.80)	0.41	2.10
BBG EPS	(2.08)	(0.72)	0.32	1.95
Cashflow from operations	(784)	(875)	(122)	506
FCFF	(882)	(997)	(272)	320
Margins and Growth				
Revenue Growth Y/Y (%)	53.3%	100.1%	59.1%	68.8%
EBITDA margin	(33.3%)	(7.5%)	5.6%	12.4%
EBITDA Growth Y/Y (%)	(37.6%)	(54.8%)	(218.9%)	272.1%
EBIT margin	(35.9%)	(10.1%)	3.9%	11.3%
Net margin	(35.1%)	(10.0%)	3.2%	9.8%
Adj. EPS growth	(42.0%)	(48.3%)	(150.7%)	418.4%
Ratios				
Adj. tax rate	(2.0%)	(2.0%)	2.0%	5.0%
Interest cover	17.0	10.0	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	5.7	9.4	NM	NM
ROCE	(12.3%)	(5.1%)	3.1%	13.1%
ROE	(15.1%)	(5.7%)	2.9%	14.0%
Valuation				
FCFF yield	(3.1%)	(3.1%)	(0.9%)	1.0%
Dividend yield	-	-	-	-
EV/Revenue	13.5	6.7	4.2	2.5
EV/EBITDA	NM	NM	75.3	20.2
Adj. P/E	NM	NM	155.7	30.0

Summary Investment Thesis and Valuation

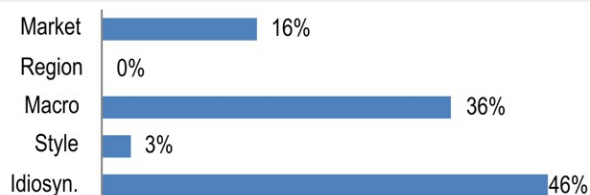
Investment Thesis

We have a Neutral rating on UBTech, a leading robotics company based in Shenzhen, China. As a strategic early mover in the humanoid robot industry, UBTech has established a robust customer base, with over 10 clients engaged in trial runs or holding confirmed orders. Notable partners include BYD, Dongfeng Liuzhou Motor, Zeekr, Seres, Foxconn and BAIC. The recent launch of UBTech's ultra-bionic humanoid robot, targeting consumer and retail markets, could provide upside to shipment forecasts if adoption accelerates. While both the industry and UBTech have a short commercial track record and limited visibility on large-scale deployments, we see these risks as increasingly balanced by tangible progress in n, growing customer adoption and strong policy support amid the intensifying China-US race for humanoid robotics.

Valuation

Our Dec-27 PT is HK\$74, derived using a P/S methodology that captures both the industry's early-stage dynamics and UBTech's exposure to high-growth opportunities in intelligence-driven physical AI. This target corresponds to a FY27E forward P/S multiple of 5x, which is above that of Estun Automation (3x P/S), given UBTech's closer alignment with the intelligence layer of physical AI, but remains at a discount to upstream component leaders, reflecting their stronger moats and broader ecosystem scalability.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.33	0.39
Region: Hong Kong	0.05	-0.01
Macro:		
Generic 1st 'CO' Future	-0.54	-0.46
Emerging Economies CPI(YoY)	0.54	0.42
Emerging Central Bank Rate	-0.53	-0.41
Quant Styles:		
Size	-0.31	-0.15
Momentum	-0.22	-0.10
Growth	-0.07	0.05

Investment Thesis, Valuation and Risks

UBTECH Robotics - H *(Neutral; Price Target: HK\$74.00)*

Investment Thesis

We have a Neutral rating on UBTech, a leading robotics company based in Shenzhen, China. As a strategic early mover in the humanoid robot industry, UBTech has established a robust customer base, with over 10 clients engaged in trial runs or holding confirmed orders. Notable partners include BYD, Dongfeng Liuzhou Motor, Zeekr, Seres, Foxconn and BAIC. The recent launch of UBTech's ultra-bionic humanoid robot, targeting consumer and retail markets, could provide upside to shipment forecasts if adoption accelerates. While both the industry and UBTech have a short commercial track record and limited visibility on large-scale deployments, we see these risks as increasingly balanced by tangible progress in ^{robotics}, growing customer adoption and strong policy support amid the intensifying China-US race for humanoid robotics.

Valuation

Our Dec-27 PT is HK\$74, derived using a P/S methodology that captures both the industry's early-stage dynamics and UBTech's exposure to high-growth opportunities in intelligence-driven physical AI. This target corresponds to a FY27E forward P/S multiple of 5x, which is above that of Estun Automation (3x P/S), given UBTech's closer alignment with the intelligence layer of physical AI, but remains at a discount to upstream component leaders, reflecting their stronger moats and broader ecosystem scalability.

Risks to Rating and Price Target

Downside risks include: (1) lower-than-expected progress in trial runs or order conversion with auto OEMs such as BYD; (2) slower-than-expected development of the humanoid robot industry; (3) intensifying market competition that could pressure margins and market share; and (4) slower-than-expected sales growth delivery.

Upside risks include: (1) faster-than-expected ^{robotics} and repeat orders from key customers; (2) successful scaling of the new ultra-bionic humanoid robot in consumer and retail markets; and (3) further policy support or strategic partnerships that accelerate adoption and market expansion.

UBTECH Robotics - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	1,305	2,001	4,004	6,369	10,752	Cash flow from operating activities	(884)	(784)	(875)	(122)	506
COGS	(931)	(1,247)	(2,229)	(3,410)	(5,601)	o/w Depreciation & amortization	81	51	102	108	118
Gross profit	-	-	-	-	-	o/w Changes in working capital	(233)	(418)	(564)	(485)	(766)
SG&A	(894)	(807)	(1,094)	(1,294)	(1,969)	Cash flow from investing activities	(276)	(661)	(109)	(137)	(167)
Adj. EBITDA	(1,069)	(667)	(302)	359	1,335	o/w Capital expenditure	(227)	(409)	(142)	(169)	(204)
D&A	(81)	(51)	(102)	(108)	(118)	as % of sales	17.4%	20.4%	3.5%	2.7%	1.9%
Adj. EBIT	(1,149)	(718)	(404)	251	1,216	Cash flow from financing activities	1,826	5,184	(125)	204	203
Net Interest	(11)	39	30	29	33	o/w Dividends paid	0	0	0	0	0
Adj. PBT	(1,149)	(775)	(443)	225	1,250	o/w Shares issued/(repurchased)	1,866	5,882	0	0	0
Tax	(11)	(15)	(9)	4	(62)	o/w Net debt issued/(repaid)	83	(411)	(123)	207	207
Minority Interest	36	87	50	(25)	(130)	Net change in cash	670	3,697	(1,109)	(55)	543
Adj. Net Income	(1,124)	(703)	(402)	204	1,057	Adj. Free cash flow to firm	(974)	(882)	(997)	(272)	320
Reported EPS	(2.67)	(1.55)	(0.80)	0.41	2.10	y/y Growth	(11.2%)	(9.5%)	13.0%	(72.7%)	(217.5%)
Adj. EPS	(2.67)	(1.55)	(0.80)	0.41	2.10						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	421	455	503	503	503						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,191	4,888	3,779	3,724	4,267	Gross margin	-	-	-	-	-
Accounts receivable	1,095	1,596	3,083	4,730	7,690	EBITDA margin	(81.9%)	(33.3%)	(7.5%)	5.6%	12.4%
Inventories	461	577	969	1,389	2,129	EBIT margin	(88.1%)	(35.9%)	(10.1%)	3.9%	11.3%
Other current assets	160	217	217	217	217	Net profit margin	(86.1%)	(35.1%)	(10.0%)	3.2%	9.8%
Current assets	2,906	7,277	8,049	10,060	14,303	ROE	(55.2%)	(15.1%)	(5.7%)	2.9%	14.0%
PP&E	139	242	309	393	499	ROA	(22.7%)	(9.1%)	(3.8%)	1.7%	7.0%
LT investments	50	67	67	67	67	ROCE	(33.1%)	(12.3%)	(5.1%)	3.1%	13.1%
Other non current assets	2,039	2,655	2,558	2,480	2,459	SG&A/Sales	68.5%	40.3%	27.3%	20.3%	18.3%
Total assets	5,134	10,241	10,983	13,000	17,328	Net debt/Equity	0.1	NM	NM	NM	NM
Short term borrowings	793	623	293	293	293	Net debt/EBITDA	NM	5.7	9.4	NM	NM
Payables	1,146	1,524	2,724	4,168	6,846	Sales/Assets (x)	0.3	0.3	0.4	0.5	0.7
Other short term liabilities	153	245	336	444	643	Assets/Equity (x)	2.4	1.6	1.5	1.7	2.0
Current liabilities	2,093	2,392	3,353	4,905	7,782	Interest cover (x)	NM	17.0	10.0	NM	NM
Long-term debt	709	439	646	853	1,060	Operating leverage	(23.9%)	(70.5%)	(43.6%)	(274.4%)	560.0%
Other long term liabilities	85	84	109	139	195	Tax rate	(0.9%)	(2.0%)	(2.0%)	2.0%	5.0%
Total liabilities	2,886	2,915	4,109	5,897	9,037	Revenue y/y Growth	23.6%	53.3%	100.1%	59.1%	68.8%
Shareholders' equity	2,112	7,218	6,816	7,020	8,077	EBITDA y/y Growth	(7.3%)	(37.6%)	(54.8%)	(218.9%)	272.1%
Minority interests	136	108	58	83	213	EPS y/y Growth	(12.4%)	(42.0%)	(48.3%)	(150.7%)	418.4%
Total liabilities & equity	5,134	10,241	10,983	13,000	17,328						
BVPS	-	-	-	-	-	Valuation					
y/y Growth	-	-	-	-	-		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	311	(3,826)	(2,840)	(2,578)	(2,914)	P/E (x)	NM	NM	NM	155.7	30.0
						P/BV (x)	-	-	-	-	-
						EV/EBITDA (x)	NM	NM	NM	75.3	20.2
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

688322.SS, 688322.CH

Price (28 Sep 26):Rmb85.75

▼ **Price Target (Dec-27):Rmb110.00**

Prior (Dec-27):Rmb140.00

Infrastructure, Industrials & Transport

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	95	92	93	94	63
Growth	3	1	2	17	86
Momentum	25	13	91	19	
Quality	69	82	91	94	100
Low Vol	93	91	92	94	

Orbbec - A

Scaling 3D vision leadership in a rapidly evolving market; PT reduced to reflect Cognex-RealSense deal impact

Orbbec stands out as the leading 3D vision and perception platform in China's physical AI ecosystem, with a scale advantage (sales c.2.4x that of RealSense) and more than a 70% share of China's service and humanoid robot market. We remain OW and set our Dec-27 PT at Rmb110, offering 28% potential upside and implying a c.18x FY27E P/S (vs. 23x previously). Our earnings estimates remain c.20%/c.40% above Bloomberg consensus for FY27/28, reflecting our confidence in the company's ability to leverage its early-mover advantage, strong supply chain control and customer customization. While Cognex's acquisition of RealSense provides a new public comp and raises the burden of proof for Orbbec, we believe the company's integration with China's physical AI ecosystem and its potential to evolve from a component supplier into a vision perception platform provider remain key differentiators.

How does Orbbec's scale and ecosystem integration position it for long-term value creation as the 3D vision market evolves? We believe Orbbec's scale advantage is under-appreciated in an emerging technology market where scale means more customer touch-points, more deployment scenarios, more accumulated data and stronger ecosystem relevance. This creates a closed loop: A higher installed base translates into more data and use cases, improving robot performance and potentially setting industry standards. Orbbec's positioning as a domestic China 3D vision leader, with strong supply chain control and customer customization, should command a strategic premium as the market matures. As the sector evolves, Orbbec's ability to influence data standards, sensing architecture and integration with downstream software stacks will be increasingly important for sustaining its premium.

What are the key risks and opportunities for Orbbec in light of the Cognex-RealSense deal and rising global competition? Cognex's acquisition of RealSense for c.US\$500M (c.6x FY26E P/S) signals to us that robotic perception is becoming a core layer in the physical AI stack. While Orbbec currently enjoys a wide valuation premium (FY26E P/S of 26x, per JPMe), the deal provides a clean public valuation reference and raises the burden of proof for Orbbec to deliver strong growth, better gross margin and more defensible software value. We trim our Dec-27 PT to Rmb110 (for 28% potential upside), remain OW and move to a FY27E P/S of 18x to reflect the risk of valuation convergence and a higher burden of growth proof. We do not view RealSense as a true comp at this stage, but acknowledge the impact on sentiment. Orbbec's early-mover advantage, scale and potential to evolve from a component supplier into a vision perception platform provider remain key differentiators, and we believe the company is well positioned to sustain above-industry-average valuation multiples as the sector matures.

Price Performance



	YTD	1m	3m	12m
Abs	-4.4%	-10.0%	-28.4%	-0.2%
Rel	8.2%	-5.3%	-33.6%	18.3%

Company Data

Shares O/S (mn)	401
52-week range (Rmb)	153.30-72.45
Market cap (\$ mn)	5,124
Exchange rate	6.71
Free float (%)	45.0%
3M ADV (mn)	12.70
3M ADV (\$ mn)	208.5
Volatility (90 Day)	90
Index	MXCNX
BBG ANR (Buy Hold Sell)	8 0 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	941	1,347	2,506	4,446
Adj. EBIT	113	259	602	1,206
Adj. EBITDA	163	315	669	1,284
Adj. net income	128	268	590	1,135
Adj. EPS	0.32	0.65	1.44	2.76
BBG EPS	0.34	0.62	1.22	1.96
Cashflow from operations	83	261	504	997
FCFF	13	(7)	84	670
Margins and Growth				
Revenue Growth Y/Y (%)	66.7%	43.1%	86.1%	77.4%
EBIT margin	12.1%	19.3%	24.0%	27.1%
EBIT Growth Y/Y (%)	(211.0%)	128.6%	132.3%	100.2%
EBITDA margin	17.4%	23.4%	26.7%	28.9%
EBITDA Growth Y/Y (%)	(616.3%)	92.7%	112.6%	92.0%
Net margin	13.6%	19.9%	23.6%	25.5%
Adj. EPS growth	(302.8%)	104.5%	120.1%	92.4%
Ratios				
Adj. tax rate	7.4%	3.0%	5.0%	8.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	4.4%	7.5%	13.1%	21.1%
Valuation				
FCFF yield	0.0%	(0.0%)	0.2%	1.9%
Dividend yield	-	-	-	-
EV/Revenue	35.6	24.8	13.4	7.5
EV/EBITDA	205.0	106.4	50.0	26.1
Adj. P/E	268.9	131.5	59.7	31.1

Summary Investment Thesis and Valuation

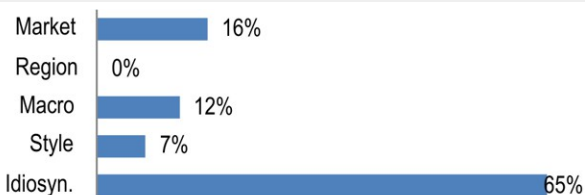
Investment Thesis

We are Overweight on Orbbec, a leading 3D vision solution provider based in Shenzhen, China, and a key enabler for the emerging embodied AI and humanoid robotics ecosystem. Orbbec is strategically positioned as a platform leader in 3D machine vision, with management estimating >70% market share in China's service and humanoid robot vision hardware segment. The company's full-stack technology platform is embedded in major robotics ecosystems, with partnerships spanning NVIDIA, Microsoft and leading domestic players, supporting both scalability and ecosystem relevance.

Valuation

We set our Dec-27 PT at Rmb110, offering 28% potential upside from current levels and implying a FY27E P/S of 18x. This multiple reflects a reduction from our previous target multiple, reflecting the impact of the Cognex-RealSense deal on sector sentiment, even though we do not view RealSense as a true comp at this stage. Our earnings estimates are c.20%/c.40% above consensus for FY27/28, and we continue to see Orbbec's early-mover advantage, scale and integration with China's physical AI ecosystem as key differentiators. We believe Orbbec's positioning as a domestic 3D vision leader, with strong supply chain control and customer customization, should command a strategic premium as the market matures.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.39	0.40
Region: China	0.01	0.01
Macro:		
Emerging Economies CPI(YoY)	0.34	0.29
Generic 1st 'CO' Future	-0.27	-0.27
JPM China A-shares Sentiment	0.38	0.19
Quant Styles:		
Value	-0.25	-0.26
Growth	0.22	0.24
DivYld	-0.20	-0.21

Investment Thesis, Valuation and Risks

Orbbec - A *(Overweight; Price Target: Rmb110.00)*

Investment Thesis

We are Overweight on Orbbec, a leading 3D vision solution provider based in Shenzhen, China, and a key enabler for the emerging embodied AI and humanoid robotics ecosystem. Orbbec is strategically positioned as a platform leader in 3D machine vision, with management estimating >70% market share in China's service and humanoid robot vision hardware segment. The company's full-stack technology platform is embedded in major robotics ecosystems, with partnerships spanning NVIDIA, Microsoft and leading domestic players, supporting both scalability and ecosystem relevance.

Valuation

We set our Dec-27 PT at Rmb110, offering 28% potential upside from current levels and implying a FY27E P/S of 18x. This multiple reflects the impact of the Cognex-RealSense deal on sector sentiment, even though we do not view RealSense as a true comp at this stage. Our earnings estimates are c.20%/c.40% above consensus for FY27/28, and we continue to see Orbbec's early-mover advantage, scale and integration with China's physical AI ecosystem as key differentiators. We believe Orbbec's positioning as a domestic 3D vision leader, with strong supply chain control and customer customization, should command a strategic premium as the market matures.

Risks to Rating and Price Target

Key downside risks include: (1) a slower-than-expected market growth pace, notably key drivers including humanoid robot/embodied AI applications and 3D printing applications; (2) rising competition, diluting profitability; and (3) any shift in vision hardware standards toward lower-ASP categories.

Orbbec - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	564	941	1,347	2,506	4,446	Cash flow from operating activities	(86)	83	261	504	997
COGS	(329)	(529)	(681)	(1,260)	(2,281)	o/w Depreciation & amortization	71	50	55	67	79
Gross profit	236	412	665	1,245	2,165	o/w Changes in working capital	(82)	(71)	(45)	(134)	(189)
SG&A	(383)	(364)	(436)	(670)	(998)	Cash flow from investing activities	(594)	15	(234)	(385)	(277)
Adj. EBITDA	(32)	163	315	669	1,284	o/w Capital expenditure	(203)	(63)	(252)	(404)	(304)
D&A	(71)	(50)	(55)	(67)	(79)	as % of sales	35.9%	6.7%	18.7%	16.1%	6.8%
Adj. EBIT	(102)	113	259	602	1,206	Cash flow from financing activities	39	(78)	983	(2)	(2)
Net Interest	36	8	16	17	25	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(65)	119	276	620	1,231	o/w Shares issued/(repurchased)	0	14	975	0	0
Tax	3	9	(8)	(31)	(99)	o/w Net debt issued/(repaid)	40	(22)	11	0	0
Minority Interest	(0)	0	1	1	3	Net change in cash	(640)	18	1,010	117	718
Adj. Net Income	(63)	128	268	590	1,135	Adj. Free cash flow to firm	(326)	13	(7)	84	670
Reported EPS	(0.16)	0.32	0.65	1.44	2.76	y/y Growth	(7.7%)	(103.9%)	(152.8%)	(1364.1%)	699.8%
Adj. EPS	(0.16)	0.32	0.65	1.44	2.76						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	400	401	411	411	411						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	606	630	1,639	1,756	2,474	Gross margin	41.8%	43.8%	49.4%	49.7%	48.7%
Accounts receivable	154	137	178	331	587	EBITDA margin	(5.6%)	17.4%	23.4%	26.7%	28.9%
Inventories	220	186	248	459	832	EBIT margin	(18.1%)	12.1%	19.3%	24.0%	27.1%
Other current assets	449	507	517	545	592	Net profit margin	(11.1%)	13.6%	19.9%	23.6%	25.5%
Current assets	1,429	1,459	2,582	3,091	4,484	ROE	(2.1%)	4.4%	7.5%	13.1%	21.1%
PP&E	338	471	532	878	1,111	ROA	(1.9%)	3.8%	6.6%	11.4%	17.8%
LT investments	17	18	19	20	21	ROCE	(3.4%)	3.4%	6.7%	12.3%	20.1%
Other non current assets	1,545	1,464	1,601	1,591	1,584	SG&A/Sales	67.8%	38.7%	32.3%	26.7%	22.4%
Total assets	3,329	3,413	4,734	5,581	7,200	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	170	128	138	138	138	Net debt/EBITDA	13.8	NM	NM	NM	NM
Payables	152	150	193	356	676	Sales/Assets (x)	0.2	0.3	0.3	0.5	0.7
Other short term liabilities	81	99	124	219	386	Assets/Equity (x)	1.1	1.2	1.1	1.1	1.2
Current liabilities	403	377	455	714	1,201	Interest cover (x)	0.9	NM	NM	NM	NM
Long-term debt	0	0	0	0	0	Operating leverage	(114.2%)	(316.5%)	298.1%	153.7%	129.4%
Other long term liabilities	51	42	42	42	42	Tax rate	(3.9%)	7.4%	3.0%	5.0%	8.0%
Total liabilities	455	419	497	755	1,242	Revenue y/y Growth	56.8%	66.7%	43.1%	86.1%	77.4%
Shareholders' equity	2,867	2,977	4,220	4,810	5,945	EBITDA y/y Growth	(85.0%)	(616.3%)	92.7%	112.6%	92.0%
Minority interests	7	17	17	15	13	EPS y/y Growth	(77.2%)	(302.8%)	104.5%	120.1%	92.4%
Total liabilities & equity	3,329	3,413	4,734	5,581	7,200						
BVPS	-	-	-	-	-	Valuation					
y/y Growth	-	-	-	-	-		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(437)	(502)	(1,501)	(1,618)	(2,336)	P/E (x)	NM	268.9	131.5	59.7	31.1
						P/BV (x)	-	-	-	-	-
						EV/EBITDA (x)	NM	205.0	106.4	50.0	26.1
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

688017.SS, 688017.CH

Price (28 Sep 26):Rmb274.62

▼ **Price Target (Dec-27):Rmb358.00**

Prior (Jun-27):Rmb481.00

Infrastructure, Industrials & Transport

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	953	900	-5.6%
Revenue - 27E (Rmb mn)	1,398	1,681	20.2%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	83	92	92	92	85
Growth	9	5	19	26	17
Momentum	8	18	35	73	18
Quality	80	75	85	81	67
Low Vol	97	97	96	96	97

Leader Harmonious Drive System Co.

Defending scarcity and scaling as the sector matures; raise earnings estimates

Leader Drive remains our top pick among upstream component suppliers, supported by its strong moat in harmonic reducers, robust supply chain and proven ability to scale with the sector's growth. We remain OW and set our Dec-27 PT at Rmb358, implying c.30% potential upside and a 39x/28x FY27E/28E P/S. We raise our revenue and earnings forecasts by c.20%/c.15% for FY27/28, bringing our numbers c.25%/c.35% above Bloomberg consensus. Leader Drive's positioning as a "shovel seller" in the humanoid robotics ecosystem allows it to benefit from supply-side expansion and rising per-unit content value, even as the sector faces near-term volatility. While new entrants like Laifual Drive are challenging scarcity, we believe Leader Drive's scale, engineering depth and customer relationships will help it defend its premium as the market matures.

How is Leader Drive positioned to sustain its premium as competition intensifies and the sector shifts toward platform economics? Leader Drive's scarcity is being tested by the listing of Laifual Drive, a domestic disruptor with harmonic reducer pricing c.40% below that of Leader Drive. However, Leader Drive's established relationships, scale and engineering expertise provide a significant barrier to entry, in our view. The company's ability to sell to multiple OEMs and its role as a critical supplier in the value chain underpin its resilience. As the sector transitions from hardware scarcity to platform economics, Leader Drive's content per robot and integration with next-generation platforms should continue to rise, in our view, supporting both revenue growth and margin stability. We expect the market to reward Leader Drive's proven moat and ability to scale across a broadening customer base.

What are the key risks and opportunities for Leader Drive as the humanoid robotics ecosystem evolves? While Leader Drive's upstream positioning and product scarcity support higher, more resilient valuation multiples, the company is not immune to sector headwinds. The risk of price competition from new entrants and the potential for margin compression remain, especially as the market becomes more crowded. However, Leader Drive's ongoing investment in R&D, supply chain resilience and customer partnerships position it to capture incremental value as the ecosystem grows. We believe the company's ability to adapt to evolving customer needs, expand its product offering and maintain its leadership in harmonic reducers will be critical for sustaining its premium as the sector matures and the market shifts toward more integrated, platform-based solutions.

Price Performance



	YTD	1m	3m	12m
Abs	43.0%	-6.0%	-25.7%	59.9%
Rel	46.7%	-2.7%	-20.6%	60.9%

Company Data

Shares O/S (mn)	169
52-week range (Rmb)	495.66-139.62
Market cap (\$ mn)	6,904
Exchange rate	6.71
Free float (%)	61.3%
3M ADV (mn)	10.53
3M ADV (\$ mn)	555.6
Volatility (90 Day)	100
Index	SSE
BBG ANR (Buy Hold Sell)	17 3 4

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	571	900	1,681	2,329
Adj. EBITDA	206	311	633	947
Adj. EBIT	146	249	488	711
Adj. net income	124	185	362	531
Adj. EPS	0.69	1.01	1.98	2.90
BBG EPS	0.67	1.02	1.53	2.20
Cashflow from operations	152	128	293	784
FCFF	52	(885)	(762)	(272)
Margins and Growth				
Revenue Growth Y/Y (%)	47.3%	57.7%	86.8%	38.6%
EBITDA margin	36.0%	34.5%	37.6%	40.6%
EBITDA Growth Y/Y (%)	76.8%	51.1%	103.5%	49.7%
EBIT margin	25.6%	27.7%	29.0%	30.5%
Net margin	21.8%	20.6%	21.6%	22.8%
Adj. EPS growth	108.0%	46.0%	95.6%	46.5%
Ratios				
Adj. tax rate	12.8%	12.8%	12.8%	12.8%
Interest cover	119.1	8.4	8.8	9.2
Net debt/Equity	NM	0.1	0.3	0.3
Net debt/EBITDA	NM	0.6	1.7	1.6
ROCE	3.6%	5.5%	8.8%	10.8%
ROE	3.6%	5.1%	9.6%	12.9%
Valuation				
FCFF yield	0.1%	(1.8%)	(1.5%)	(0.5%)
Dividend yield	0.1%	0.1%	0.2%	0.3%
EV/Revenue	79.9	51.7	28.2	20.5
EV/EBITDA	221.7	149.8	75.0	50.5
Adj. P/E	396.7	271.7	138.9	94.8

Summary Investment Thesis and Valuation

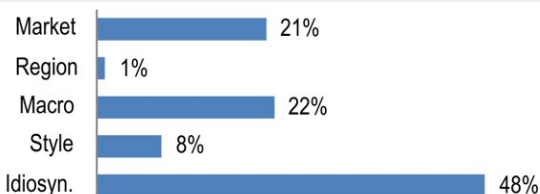
Investment Thesis

We remain OW on Leader Drive, China's leading harmonic drive supplier, as we believe the company is poised to capture significant upside from the accelerating adoption of humanoid robots and the broader expansion of the robotics hardware supply chain. Leader Drive's strong moat in precision components, deep integration with domestic OEMs and proven ability to scale production position it as a key beneficiary as the industry transitions from pilot programs to scaled deployment. The company's robust customer relationships and ongoing investment in R&D further reinforce its leadership in a market where content per robot and platform integration are set to rise.

Valuation

We value Leader Drive using a target P/S and a DCF framework to capture its scarcity premium and long-term growth potential. Our Dec-27 PT of Rmb358 is based on a target P/S of 39x/28x for FY27E/28E vs. the current trading levels of c.30x/c.20x. This premium reflects Leader Drive's unique positioning as a critical upstream supplier with strong content value per robot and the ability to scale across multiple OEMs as the humanoid robotics ecosystem expands. Our DCF analysis uses a terminal growth rate of 5% and a WACC of 7.7% (vs. 6.5% and 8.7%, respectively, previously). The WACC is derived from a cost of equity of 11.1% and an after-tax cost of debt of 4.3%, with a target capital structure of 50% debt/total capital. This approach reflects our confidence in Leader Drive's ability to deliver sustainable growth and margin resilience as the sector matures and the market increasingly rewards proven moats and platform value.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.46
Region: China	0.08	0.11
Macro:		
Emerging Economies CPI(YoY)	0.38	0.36
US 10 Year Yield	0.34	0.33
Generic 1st 'CO' Future	-0.37	-0.32
Quant Styles:		
Value	-0.21	-0.23
DivYld	-0.19	-0.22
Growth	0.19	0.22

Investment Thesis, Valuation and Risks

Leader Harmonious Drive System Co. (Overweight; Price Target: Rmb358.00)

Investment Thesis

We remain OW on Leader Drive, China's leading harmonic drive supplier, as we believe the company is poised to capture significant upside from the accelerating adoption of humanoid robots and the broader expansion of the robotics hardware supply chain. Leader Drive's strong moat in precision components, deep integration with domestic OEMs and proven ability to scale production position it as a key beneficiary as the industry transitions from pilot programs to scaled deployment. The company's robust customer relationships and ongoing investment in R&D further reinforce its leadership in a market where content per robot and platform integration are set to rise.

Valuation

We value Leader Drive using both a target P/S and a DCF framework to capture its scarcity premium and long-term growth potential. Our Dec-27 PT of Rmb358 is based on a target P/S of 39x/28x for FY27E/28E vs. the current trading levels of c.30x/c.20x. This premium reflects Leader Drive's unique positioning as a critical upstream supplier with strong content value per robot and the ability to scale across multiple OEMs as the humanoid robotics ecosystem expands.

Our DCF analysis supports our PT, using a terminal growth rate of 5% and a WACC of 7.7%. The WACC is derived from a cost of equity of 11.1% (risk-free rate 1.6%, equity risk premium 6.8%, beta 1.4) and an after-tax cost of debt of 4.3% (pretax cost of debt 5.0%, tax rate 15%), with a target capital structure of 50% debt/total capital. This approach reflects our confidence in Leader Drive's ability to deliver sustainable growth and margin resilience as the sector matures and the market increasingly rewards proven moats and platform value.

Risks to Rating and Price Target

Downside risks include: (1) weaker-than-expected quarterly sales growth delivery in the coming 12 months; (2) rising competition and higher-than-expected pricing pressure from downstream robot suppliers; and (3) slower-than-expected humanoid robot n.

Leader Harmonious Drive System Co.: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	387	571	900	1,681	2,329	Cash flow from operating activities	28	152	128	293	784
COGS	(242)	(360)	(566)	(1,050)	(1,444)	o/w Depreciation & amortization	56	60	61	145	236
Gross profit	145	211	334	631	886	o/w Changes in working capital	(104)	(17)	(119)	(215)	18
SG&A	(39)	(43)	(59)	(104)	(135)	Cash flow from investing activities	(312)	(762)	(1,012)	(1,054)	(1,056)
Adj. EBITDA	116	206	311	633	947	o/w Capital expenditure	(32)	(100)	(1,012)	(1,054)	(1,056)
D&A	(56)	(60)	(61)	(145)	(236)	as % of sales	8.4%	17.5%	112.5%	62.7%	45.3%
Adj. EBIT	60	146	249	488	711	Cash flow from financing activities	840	(168)	664	539	424
Net Interest	0	(2)	(37)	(72)	(103)	o/w Dividends paid	(63)	(22)	(56)	(109)	(159)
Adj. PBT	61	144	212	416	609	o/w Shares issued/(repurchased)	1,417	5	0	0	0
Tax	(5)	(18)	(27)	(53)	(78)	o/w Net debt issued/(repaid)	(505)	(148)	720	648	583
Minority Interest	0	(1)	0	0	0	Net change in cash	556	(779)	(220)	(223)	152
Adj. Net Income	56	124	185	362	531	Adj. Free cash flow to firm	(4)	52	(885)	(762)	(272)
Reported EPS	0.33	0.69	1.01	1.98	2.90	y/y Growth	(106.1%)	(1273.0%)	(1793.1%)	(13.9%)	(64.3%)
Adj. EPS	0.33	0.69	1.01	1.98	2.90						
DPS	0.11	0.21	0.30	0.59	0.87						
Payout ratio	32.6%	30.3%	30.0%	30.0%	30.0%						
Shares outstanding	169	180	183	183	183						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,525	746	526	303	456	Gross margin	37.5%	36.9%	37.1%	37.5%	38.0%
Accounts receivable	200	255	376	618	740	EBITDA margin	30.0%	36.0%	34.5%	37.6%	40.6%
Inventories	246	285	392	621	710	EBIT margin	15.6%	25.6%	27.7%	29.0%	30.5%
Other current assets	235	1,305	1,305	1,305	1,305	Net profit margin	14.5%	21.8%	20.6%	21.6%	22.8%
Current assets	2,205	2,592	2,598	2,847	3,210	ROE	2.1%	3.6%	5.1%	9.6%	12.9%
PP&E	405	426	1,388	2,349	3,958	ROA	1.7%	3.2%	4.2%	6.6%	8.0%
LT investments	-	-	-	-	-	ROCE	1.8%	3.6%	5.5%	8.8%	10.8%
Other non current assets	1,146	911	901	848	61	SG&A/Sales	10.0%	7.5%	6.6%	6.2%	5.8%
Total assets	3,755	3,929	4,886	6,045	7,228	Net debt/Equity	NM	NM	0.1	0.3	0.3
						Net debt/EBITDA	NM	NM	0.6	1.7	1.6
Short term borrowings	109	0	720	1,368	1,951	Sales/Assets (x)	0.1	0.1	0.2	0.3	0.4
Payables	67	168	276	533	761	Assets/Equity (x)	1.2	1.1	1.2	1.4	1.6
Other short term liabilities	51	102	102	102	102	Interest cover (x)	NM	119.1	8.4	8.8	9.2
Current liabilities	228	271	1,099	2,003	2,815	Operating leverage	(132.7%)	298.9%	122.8%	110.0%	118.9%
Long-term debt	-	-	-	-	-	Tax rate	8.2%	12.8%	12.8%	12.8%	12.8%
Other long term liabilities	97	115	115	115	115	Revenue y/y Growth	8.8%	47.3%	57.7%	86.8%	38.6%
Total liabilities	325	386	1,214	2,118	2,930	EBITDA y/y Growth	0.5%	76.8%	51.1%	103.5%	49.7%
Shareholders' equity	3,425	3,537	3,667	3,920	4,292	EPS y/y Growth	(33.3%)	108.0%	46.0%	95.6%	46.5%
Minority interests	5	6	6	6	6						
Total liabilities & equity	3,755	3,929	4,886	6,045	7,228	Valuation					
BVPS	20.30	19.29	20.00	21.38	23.41		FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	70.1%	(4.9%)	3.7%	6.9%	9.5%	P/E (x)	824.9	396.7	271.7	138.9	94.8
						P/BV (x)	13.5	14.2	13.7	12.8	11.7
Net debt/(cash)	(1,415)	(746)	194	1,065	1,496	EV/EBITDA (x)	386.3	221.7	149.8	75.0	50.5
						Dividend Yield	0.0%	0.1%	0.1%	0.2%	0.3%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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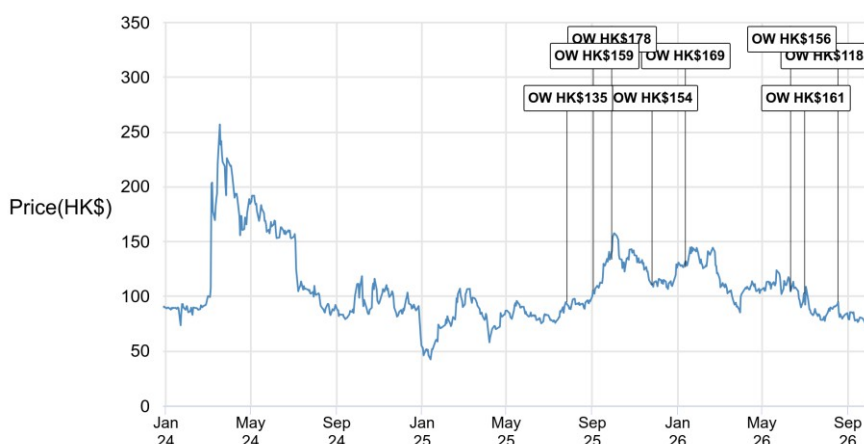
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UBTECH Robotics - H (9880.HK, 9880 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
28-Jul-25	OW	94.90	135
03-Sep-25	OW	105.50	159
29-Sep-25	OW	133.70	178
26-Nov-25	OW	110.60	154
12-Jan-26	OW	126.70	169
12-Jun-26	OW	104.70	156
02-Jul-26	OW	102.80	161
19-Aug-26	OW	94.80	118

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 28, 2025. All share prices are as of market close on the previous business day.

International Container Terminal Services Inc (ICT.PS), J&T Express - H (1519.HK), JD Logistics (2618.HK), Jiangsu Hengli Hydraulic - A (601100.SS), Leader Harmonious Drive System Co. (688017.SS), MTR Corp (0066.HK), Orbbec - A (688322.SS), Orient Overseas International Limited (OOIL) (0316.HK), S.F. Holding - A (002352.SZ), S.F. Holding - H (6936.HK), SITC International Holdings - H (1308.HK), ST Engineering (STEG.SI), Sany Heavy Industry - A (600031.SS), Sany Heavy Industry - H (6031.HK), Shenzhen Inovance Technology Co. Ltd - A (300124.SZ), Singapore Airlines (SIAL.SI), T.S. Lines (2510.HK), Techtronic Industries (0669) (0669.HK), UBTECH Robotics - H (9880.HK), Unitree Robotics - A (688836.SS), Weichai Power - A (000338.SZ), Weichai Power - H (2338.HK), XCMG - A (000425.SZ), Yiheda Automation - A (301029.SZ), ZTO Express (ZTO), ZTO Express - H (2057.HK), Zhejiang Sanhua Intelligent Controls - A (002050.SZ), Zhejiang Sanhua Intelligent Controls - H (2050.HK), Zhuzhou CRRC Times Electric Co (3898) (3898.HK), Zhuzhou CRRC Times Electric Co - A (688187.SS) **Su, Sunny** : Beijing-Shanghai High Speed Railway - A (601816.SS)

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